

Terms of Reference (ToR) for Audit

1. Background

Global Nature Fund (GNF) is an international environmental foundation based in Germany. The organization was founded in 1998 and is committed to the protection of lakes, wetlands, biodiversity, climate and water resources worldwide. Cooperation with non-governmental organizations (NGOs) in the Global South is a central element of the work of the Global Nature Fund (GNF). The GNF pursues a partnership approach, in which local organizations are not only project partners, but also important actors in the planning, implementation and long-term safeguarding of nature and environmental protection measures. The partnerships are based on the principle that sustainable nature and resource conservation can only be successful together with the local people. Local NGOs contribute regional knowledge, contacts to communities and authorities as well as cultural understanding to the projects.

2. Organization and projects to be audited

In Bangladesh, GNF's cooperation is particularly closely linked to civil society organizations working on projects related to nature conservation and community development. The focus is on biodiversity conservation, climate adaptation, sustainable livelihoods and the strengthening of local communities.

3. Objective of the audit

As part of projects funded by GNF and the German government, an independent in-depth anti-fraud audit shall be conducted that goes beyond a standard financial audit. In total four projects of the implementing organization in **Khulna Division, Bangladesh** have been supported by GNF between 2019 and 2026 with a total budget of approx. 1.7 million Euro. The purpose is to assess **anonymous allegations** of fraud and corruption, identify potential irregularities, evaluate misappropriation of assets, conflicts of interest, and non-compliance with donor requirements & project regulations, financing agreements, and applicable legal regulations.

The audit shall provide reasonable assurance that project funds have been used economically, appropriately, and exclusively for project purposes, in accordance with approved budgets and contractual requirements, in particular the donor's funding guidelines and corresponding ancillary provisions. It shall verify that expenditures are eligible, properly documented and accounted for, that financial statements fairly present the project's financial position, that project assets exist and are properly recorded, safeguarded, and used for project purposes, and that have been complied with applicable tax, labour and statutory regulations in Bangladesh.

The audit shall assess the adequacy and effectiveness of internal control, financial management, governance, and procurement systems, identify weaknesses, and, where necessary, provide recommendations to strengthen governance structures and mitigate risks.

4. Scope of the audit

I. Financial management

Audit of financial and control systems, in particular accounting, account management, bank reconciliations, cash management, payment approvals, segregation of duties, budget control and asset management. Furthermore, the audit shall assess whether payments are properly authorized, and whether there are unusual transactions, and whether individuals can carry out transactions on their own.

II. Procurement

The audit shall check random sampling of procurement transactions, the comparison of bids and the review of supplier registers in order to assess procurement and award processes, in particular procurement guidelines, bidding procedures, supplier selection and contract management. Fraud risks such as bogus tenders, conflicts of interest, kickback payments, supplier preference and double billing shall be assessed.

III. Human Resources Management

Audit of personnel and remuneration processes, in particular personnel files, employment contracts, salary payments and travel expense reports. Risks such as ghost employees, fictitious consultants, excessive travel expenses and double reimbursements shall be specifically assessed.

IV. Compliance

Examination of compliance, in particular compliance with donor requirements, NGO guidelines as well as anti-corruption, anti-fraud and whistleblower regulations. It should be assessed whether effective measures for the prevention, detection and reporting of rule violations are implemented.

V. Project Management

Audit of the use of funds and partner payments, particularly funds forwarded, sub-grants, partner payments and the provision of evidence. It should be assessed whether the activities carried out correspond to the expenses accounted for, whether the receipts are complete and whether there are indications of bogus activities or misuse of funds.

VI. Governance, Organizational Structure and Assets

Examination of statutes, organizational and governance structures, particularly the roles and responsibilities of the founder, the management team, the independence of a Control Board, the articles of association, and conflict of interest regulations.

5. Methodology, Specific Fraud Tests and Interviews

The audit includes a combined methodology of document reviews, confidential interviews, sampling audits, data analysis, walk-through testing, compliance reviews and risk analysis. The aim is to assess the adequacy and effectiveness of governance, financial, procurement,

human resources and control systems as well as to identify potential fraud, corruption and compliance risks.

The audit will consist of three main parts:

- A check of the accounting and bookkeeping of the implementing organization;
- On-site visit to two subdistricts in the Khulna division to check the project related assets and project investments;
- Interviews with selected people from the projects' target groups and communities.

Verify transactions and master data using data analysis, including duplicate checks, unusual payment analysis, rounding amounts, split purchases below thresholds, and multiple payments. In addition, supplier relationships are examined for possible connections to employees, identical addresses or bank details. Bank account verification includes sampling unusual transactions, cash payouts, and tracking larger payments for identification of potential risks of fraud.

Conducting confidential interviews with key persons, in particular management, finance managers, procurement officers, project managers, board members and selected project employees. The aim is to obtain information on governance, compliance, control and fraud risks as well as to validate the results of document reviews and data analyses.

In the contract, GNF will provide specific information and investigation questions for the audit and the on-site field investigations.

Specific questions, checks and field investigations:

- **Field restoration and reforestation:** Are the areas described as restored in project documentation identifiable and permanently secured?
- **Tree nurseries:** Are permanent mangrove seedling nurseries established and is it possible to obtain seedlings there?
- **Inventory and assets:** Is there a proper inventory of donor-funded assets in the project region (buildings, vehicles such as cars or boats, machinery, and land purchased)? Are acquisitions well declared and is the charitable ownership situation clear and the charitable purpose of those acquisitions visible? If so, are they traceable (i.e. via an inventory) and is the ownership situation clear.
- **Field facilities:** What is the state of the field facilities (training and learning center) and are they used according to the project purpose?
- **Community work:** Assess the actual participation of the community in the project activities, based on interviews with selected community members, to be identified by project participant lists (Target: 40 interviews). Was the community involved into the projects by appropriate participation structures and processes?
- **Management Letter:** Prepare a management letter with factual findings and weaknesses – if any – and give the local project implementation organization the opportunity to comment on the findings in the audit report.

6. Qualification of the Auditor/Examiner

The auditor or audit team should have proven experience in auditing non-governmental organizations (NGOs) as well as in-depth knowledge of the requirements and regulations of

the German Federal Ministry for Economic Cooperation and Development (BMZ), EU or UN-funded projects. In addition, relevant experience in detecting and investigating fraud and corruption cases (fraud investigations) is required. The team must include at least one qualified professional with a recognized professional certification, such as a Certified Fraud Examiner (CFE), Certified Internal Auditor (CIA), ACCA, or Chartered Accountant.

7. Deliverables: Report and evaluation

The audit report must be clear and comprehensible. It must include all relevant findings, and address the following points:

- A final Audit Report with all findings, a fraud risk assessment and a clear Audit Opinion of the auditor must be submitted to GNF. It will be made available in English. The auditor must treat the data responsibly and confidentially and inform GNF exclusively. A description of the type, scope, duration and location of the examination shall be provided in the report.
- Information on the regularity of the accounts and the receipts of income and expenditure.
- Compliance of actual and proven expenditure in the audited projects with the funding guidelines of the donor and grant agreements (will be provided)
- Findings and results on the audit points, in particular the determination of the actual income as well as the actual and proven expenditure in the projects that were necessary for their implementation in accordance with the funding guidelines (that will be provided).
- The revenues (project revenues) and expenditures (project expenditures) that can be properly allocated to the project purpose or measures are listed and compared for each project in a tableau according to the most recently approved financing plan of the respective project. Accordingly, the income and expenditure that may not be properly allocated to the project are listed separately in a tableau in accordance with the most recently approved financing plan of the respective project in the audit report.
- The auditor reports on the quality established and the management of the receipts and books.
- At the end of the audit report, there is a summary in which the main findings are listed with the resulting expenses that a) cannot be recognized as project expenses or b) represent project expenses that are objected to and are not clearly identified as recognizable.

8. Duration of engagement and auditor fees

- The audit will be based on a signed contract between the *auditor* and GNF. The audit will be carried out as soon as possible after the signing of the contract. The contract ends after the final report has been submitted and accepted by the GNF and all payments to the *auditor* have been made.
- The duration of the audit is – after signing of the contract - up to 60 calendar days, including preparation and submission of the final report.
- The total costs of conducting the audit will be based on the quotation and any additional final agreements defined in the contract.

- The payment will bear the total costs of conducting the audit and payments will be made as follows: 30% upon signing the contract, 30% upon submission of the final report and 40% upon adoption of the final report of the audit by GNF.
- The offer must include all taxes such as VAT and other statutory payments.

9. Legal validity

- If individual regulations and agreements in the contract will be in conflict with the legal provisions of the country Germany, the law of the province shall prevail. The remaining regulations and agreements shall remain legally valid. The terms of this Agreement may be amended only by mutual and written agreement of the parties who have signed the Agreement.

10. Contact information

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